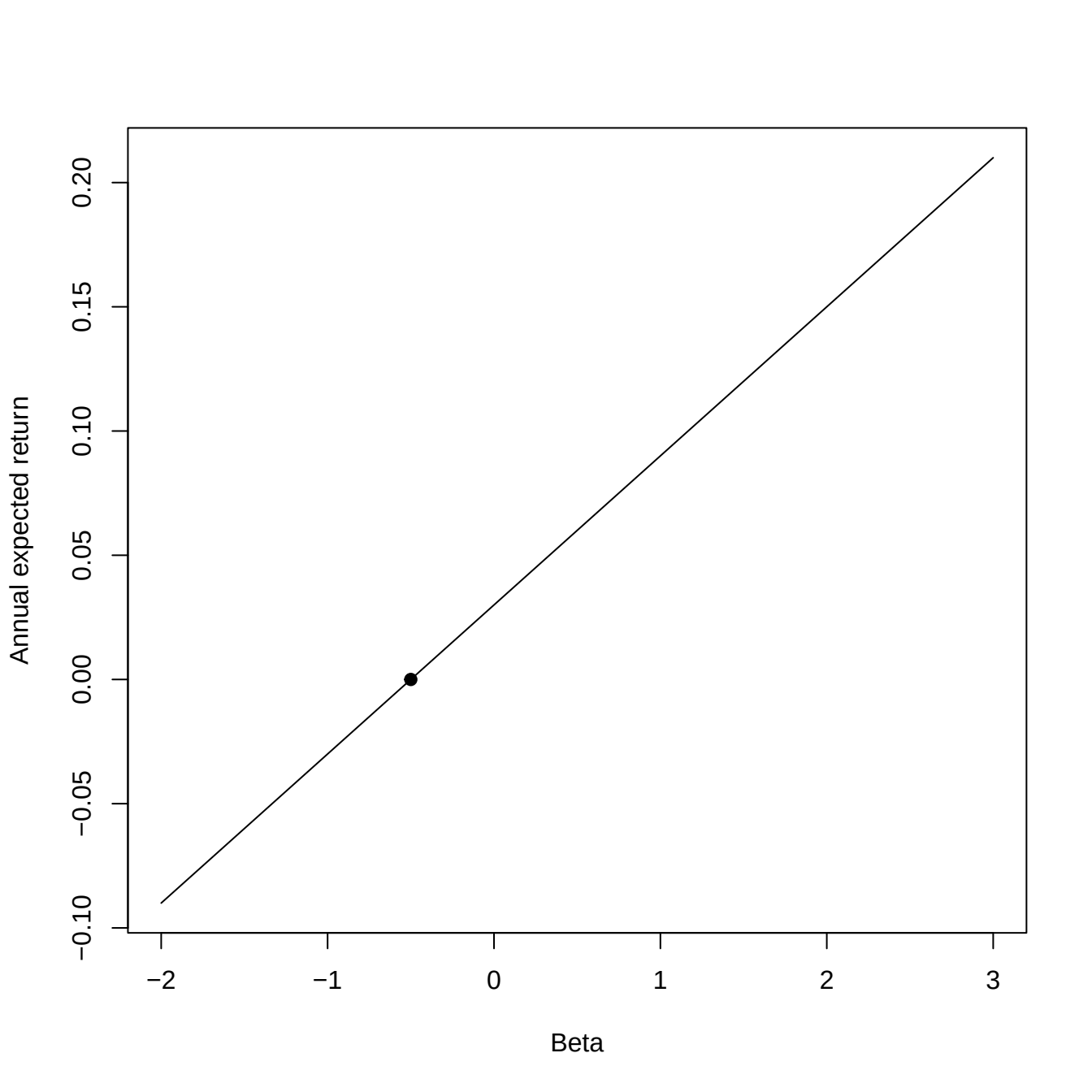
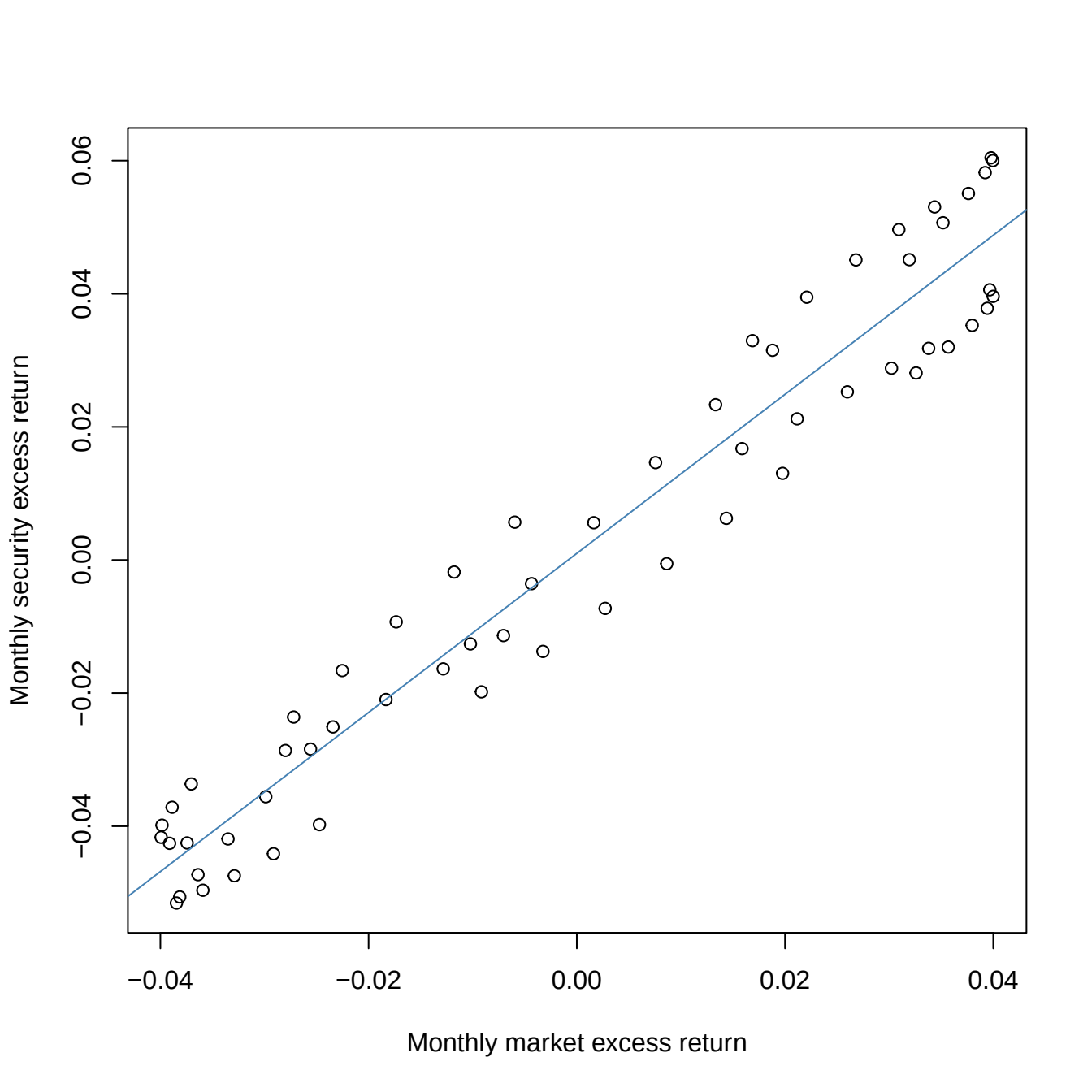

Annual expected return
0.20
0.15
0.10
0.05
0.00
−0.05
−0.10
−2
−1
0
1
2
3
Beta


Monthly security excess return
0.06
0.04
0.02
0.00
−0.02
−0.04
−0.04
−0.02
0.00
0.02
0.04
Monthly market excess return